MGT402

Quiz No.3 Jan2026

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90% To 100% Marks

1. While constructing a Break even chart, the gap between sales line and variable cost line shows which of the following?

- Break even point
- Fixed cost
- Variable cost
- **Contribution margin Correct**

2. Amount of Depreciation on fixed assets will be fixed, in nature, if calculated under which one of the following methods?

- **Straight line method Correct**
- Sum of years' digits method
- Reducing balance method
- Double declining method

3. Contribution margin is the result of which of the following two variables?

- **Sales and variable costs Correct**

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- Variable and fixed costs
- Sales and Fixed cost
- Sales and operating profit

4. Consider the following data for the month of May: Sales 150 units, Opening units 120 units, Closing 80 units. Based on the data, production in May will have to be?

- 50 units
- 190 units
- **110 units** **Correct**
- 150 units

5. Which one of the following factors would cause budgeted revenue to be less than the expected demand?

- Excess capacity exists
- **Demand exceeds capacity** **Correct**
- Excess supply of labor exists

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- Abundant resources are available

6. Which of the following is the main objective of direct material budget?

- **All of the given options Correct**
- Determination of minimum and maximum stock level
- Developing purchasing requirements
- Financial Arrangements

7. Which of the following factors would cause the break-even point to change?

- Fixed costs increased due to addition of physical plant
- Increased sales volume
- Total variable costs increased as a function of higher production
- **All of the given options Correct**

8. Which of the following costs do not change

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when the activity base fluctuates?

- Discretionary costs
- Variable costs
- Mixed costs
- **Fixed costs Correct**

9. Which of the following is true of the manufacturing overhead budget?

- Includes both variable and fixed costs associated with overhead
- Provides a schedule of all costs of production other than direct materials and direct labor
- Depreciation has to be deducted as a non-cash expense in order to determine the level of cash required for overhead
- **All of the given options Correct**

10. All of the following compose cost of goods sold except:

- Direct Labor

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- FOH
- Raw material
- **Plant & Machinery** **Correct**

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